

SECTION B

Read the following extracts (E to H) before answering Question 2.

Write your answers in the spaces provided.

Extract E**Jaguar Land Rover to create 1,300 UK jobs to build new car**

Jaguar Land Rover plans to create 1,300 new jobs to build Jaguar's first Sports Utility Vehicle (SUV) at its Solihull plant in the West Midlands.

The firm has already started investing £1.5bn in the Solihull plant to allow it to increase production, and it said its workforce there had almost doubled over the past three years to 9,450. The current employee status of Jaguar Land Rover is 30,500 people in the UK.

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The car is called the Jaguar F-PACE, will be based on its C-X17 concept car which was first launched at the Frankfurt motor show in 2013. The new model is due to go on sale in 2016. The UK executive director of Jaguar Land Rover, Mike Wright, told that the new vehicle would not be efficient. He said,

"We spend about £3.5bn on our product investment each year and one thing that we really focus on is making sure that our future cars are both economic in terms of fuel economy, in terms of CO2 emissions."

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(Source: <http://www.newsnish.com/business/jaguar-land-rover-for-creating-1300-uk-jobs-in-order-to-build-suv/> 3 July 2015))

Extract F**Market growth for Jaguar Land Rover**

Jaguar Land Rover said it had sold nearly 500,000 vehicles globally last year – a rise of 9% year-on-year – and the fifth consecutive year that sales have grown. China saw the strongest growth, with sales up 28%, while in the UK sales rose 7%.

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(Source: <http://www.bitterwallet.com/jaguar-land-rover-bring-the-jobs/82583> 13 January 2015)



Extract G**Jaguar Land Rover: A thriving business**

Jaguar Land Rover have said they wanted their new car model to be worked on in Britain to give its cars a “crafted with that special British flair”.

Jaguar Land Rover Chief Executive, Dr Ralf Speth, said the announcement demonstrated its “commitment to the UK and the advancement of a high-tech, high-skilled, manufacturing-led economy”.

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Business Secretary Vince Cable said the the decision was as a “ringing endorsement” of the UK’s car industry. Mr Cable said Jaguar Land Rover’s decision showed the UK’s car manufacturing sector was in good health.

“The UK’s automotive industry is thriving with a new car rolling off the production line every 20 seconds, and increasing levels of investment that’s helping to secure local jobs,” he said.

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(Source: <https://www.uk-car-discount.co.uk/news/jaguar-land-rover-create-1-300-jobs> 13 January 2015)



Extract H**Jaguar Land Rover breaks new profits records with £2.6bn announcement**

Midland manufacturing giant Jaguar Land Rover has clocked up another motoring milestone – with mammoth profits of more than £2.6 billion.

The Tata Motors-owned firm announced revenues of £21.86 billion for the year, up by £2.48 billion in 12 months.

JLR said the record profits marked a fifth successive year of 'solid growth, robust financial results and continuous investment in its future.' 5

High points for 2014/15 included the unveiling of three Jaguars, the all-new XE and F-PACE and the new XF, plus the start of sales of the all-new Land Rover Discovery Sport.

In October 2014, the Queen formally opened Jaguar Land Rover's Engine Manufacturing Centre at Wolverhampton, a £500 million complex which will employ 1,400 workers. Net cash-flows are expected to be as follows: 10

Year 1	£80m
Year 2	£85m
Year 3	£95m
Year 4	£100m
Year 5	£110m
Year 6	£120m
Year 7	£140m
Year 8	£140m
Year 9	£120m
Year 10	£110m

In the same month, the company opened its first ever overseas manufacturing facility in Changshu, China. Construction of its second overseas plant, in Brazil, started in December.

In March 2015, Jaguar Land Rover confirmed £600 million of investment in the West Midlands, including £400 million at Castle Bromwich in support of the introduction of the all new Jaguar XF. The company anticipates that the Jaguar XF project will pay for itself in 20 years, with an average rate of return of 8%. 15

(Source adapted from: <http://www.birminghampost.co.uk/business/business-news/jaguar-land-rover-breaks-new-9332705>, May 2015)

